



Prudence and Continuity

The Interim Budget was less populist and more forward looking. It could become the blueprint for a developed Bharat

BY N.R. BHANUMURTHY

58 |

T

THE INTERIM BUDGET has surprised many, including the markets. There are surprises both in terms of the direction of the policies but also with respect to fiscal numbers for both 2023-24 and 2024-25. At the same time, it has also ensured continuity as well as predictability and not fallen for pre-election rhetoric of going populist. In terms of continuity, the Budget renewed its policy of focussing more on government capital expenditure (capex). For 2024-25, the capex saw an increase of 11.1% over an already high allocation of ₹10 lakh crore. This ensures continuity in providing capital support to the state governments. With this, both the centre and states together would have a capex of over 6.4% of the GDP in 2024-25 and can also provide high-growth impetus while balancing

the growth-inflation trade-off.

A look at revenue deficit as a ratio of fiscal deficit suggests a massive improvement from 61.5% in the current fiscal to 38.7% in the next fiscal, thus, suggesting a sharp improvement in the quality of expenditure. In addition, there are continued efforts at improving fiscal transparency by cautiously reducing the internal and extra budgetary resource (IEBR) from 42.5% in 2021-22 to 23.6% for 2024-25. With regard to fiscal marksmanship, the disinvestment item used to be a major deterrent as there used to be a large gap between budgeted and actual leading to forecast errors. Hence, there is a need to exclude disinvestment from the non-debt creating capital receipts (NDCR). The Interim Budget did try to redefine the NDCR by giving lesser weightage to disinvestments. This should help in predictability of the overall fiscal numbers.

In terms of numbers for 2023-24, against all expectations, the finance ministry surprised everyone by estimating the fiscal deficit of 5.8%, a tad less than 5.9% budgeted. This downward revision, despite a lower GDP base, has indeed surprised

analysts as well as bond markets.

One major reason for this is the sharp increase in the tax buoyancy to 1.2 compared to 0.7 historically, which has led to improvement in overall revenue receipts. Non-tax revenues also show a sharp increase. The Interim Budget assumes similar trends for the next two years and estimates the fiscal deficit to be sub-4.5% by 2025-26, thus, retaining the fiscal consolidation targets. However, the public debt targets are quite off the mark as it is expected to be still above 55% in the next two years while the target is to reach 40% (for the centre).

But is the public debt a serious concern? Going by the interest payments data, already it is one-fourth of the total revenue receipts, leaving less resources for capital- and other social sector expenditure.

One new concern on the interest payments is the servicing of external public debt, which has seen a massive increase between 2022-23 and 2024-25—from ₹12,667 crore to ₹32,597 crore. While this could be due to a very sharp rise in the dollar interest rates, efforts to access more foreign funds to finance some social sector expenditures, like green bonds,